



ILLUSTRATION BY RAJ VERMA

94 | Tariffs are best adopted temporarily for protecting competitive infant industries or fulfilling sectoral ambitions

caped through protectionism. The only sustainable protection possible for an economy is competitiveness. If somehow, contrary to the evidence, there is a lingering doubt on the prudence of our post-1991 approach, we need only look at the disastrous impact of Brexit on the UK. US President Donald Trump's quickly discovered restraint in the recent brief trade skirmish with Canada and Mexico offers similar lessons.

For India, the risks of moving further along the path of recent tariff increases and various non-tariff measures are not trivial. Tariffs, used in a measured manner, are important instruments for optimally shaping and regulating cross-border economic activity. However, as instruments of protection, indiscriminate broad-

based application can raise costs and undermine competitiveness. They are best adopted for initially protecting inherently competitive infant industries or fulfilling clearly identified sectoral investment ambitions. Even here, other limited duration support like PLIs is preferable, as tariffs are hard to undo and have long-run impacts on competitiveness and consumer welfare. Tariff protection for our auto sector may be a case in point. Given this, the forthcoming negotiations on account of recent WTO violative US pronouncements may have a silver lining.

Non-tariff measures (NTMs) by way of product standards and conformity assessment processes are also key instruments for raising domestic manufacturing standards,

addressing sub-standard imports, and upholding strategic and security interests. They must, however, involve ease of compliance and accompany domestic quality enhancement. Unless predicated on a competitiveness and capacity-based domestic supply response, NTMs will act as barriers and restrict availability of critical inputs.

The adoption of tariffs in the past and NTMs today by developed countries is cited as evidence of their efficacy as a panacea for development, while forgetting that the success attributed to them came from the underlying competitiveness created. The shrinkage in the share of manufacturing in India, below potential investment flows, expansion of the rural/informal workforce, stagnation in growth, and strain on the rupee, are pointers to the risks of drawing wrong conclusions in this regard.

The rapid transformative power of an investor-friendly strategy is apparent in a late starter like Vietnam, which is confidently concluding FTAs with the EU, and blocs like RCEP, CPTPP, etc. Clearly, India too must pursue its economic goals through competitiveness by creating a world-class investment environment with a stable policy and regulatory framework based on the global best practice, efficient land-based plug-and-play manufacturing platforms with the requisite infrastructure and logistics linkages and a genuine single window for all approvals and regulatory oversight at the pre-investment, project implementation and operational stages, to attract investment.

Given its multi-faceted capabilities, India can, in principle, be second to none in this. The recipe for success, however, is well established and affords limited scope for any Indian exceptionalism. **BT**

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